Gems & Jewellery Industry: On An Upward Growth Trajectory

As markets slowly recover from the catastrophic throes of Covid-19 after nearly two years, India's gems and jewellery industry is staging a robust comeback. There has been a major improvement in revenues in the last several months compared to the distressful slide during the pandemic.

From April to November 2021, gems and jewellery exports were worth $26.04 billion, compared to $13.98 billion for the same period in 2020 — a 86.27 per cent rise. In the corresponding period of 2019, the figure was $25.15 billion. Currently, the industry employs over 4.3 million people and contributes 12% to India's total merchandise exports.

The gem and jewellery sector has seen spectacular growth post liberalization and has emerged as India's leading foreign exchange earner. In order to continue being a flagship industry and recover its shine optimally, a conducive environment is crucial for its uninterrupted and luminous march ahead. The government's unstinted support backed by relief measures could achieve "Atmanirbhar" vision nurtured by the industry.

The Gem and Jewellery Export Promotion Council of India (GJEPC), the apex body in India for Gems and Jewellery Sector since year 1966, has tabled a tranche of recommendations as Pre-Budget Proposals for Financial Year 2022-23 which could ease many of its hardships and give it the much required fillip, especially post Covid.

GJEPC's recommendations for FY 22-23 Union Budget to the Ministry of Finance include:

- Permit sale of rough diamonds in Special Notified Zone in Mumbai
- Reduction in import duty on Cut and Polished Diamonds from 7.5% to 2.5%
- Exporters should be allowed to import 10% of the total CPD's exported by volume (carats) at nil duty
- Reduction in import duty on precious metals Gold/Silver/Platinum from 7.5% to 4%
- Removal of Basic Customs Duty of 0.50% on rough colour gemstones
- Roll out of Tax Refund to Tourist (TRT) Scheme in India for Tourists leaving India with the Jewellery purchased while on a visit
- Introduction of Job Work Model in Diamonds, Precious and Semi-Precious stones
- Introduction of "Rates & Taxes Refund" Mechanism through EDI system similar to GST refund
- Issue necessary clarification that sawn diamonds can be imported under KPCS like a rough diamond at 0% duty.

The future is looking bright, despite the drop caused by the impact of coronavirus. The industry has tremendous potential for growth and value addition. What it needs is more industry initiatives, enabling policies and contributive ecosystem constituted by the government.

One of the largest worldwide, the Indian Gems & Jewellery industry, has over the last three decades undergone transformation, driven by industry initiatives and supported by Government policies. After a brief slowdown on account of the pandemic, the industry is once again set to grow exponentially fuelled by both domestic demand as well as exports. **Colin Shah, Chairman, Gem & Jewellery Export Promotion Council (GJEPC),** explains how a favourable market is paving the way towards an upward growth curve for the industry.



COLIN SHAH, Chairman, GJEPC

From being a USD 28 million export industry in 1966, the gems & jewellery industry has grown to USD 40 billion today, and employs 4.3 million people, contributing 12% to the merchandise exports. We understand the industry hit a rough patch with Covid over the last couple of years. However, we hear it is all set to bounce back now…

Indeed, we did not grow at all over the last two years because of the ongoing pandemic. But this year is looking better; this is because the pandemic has now stabilised, and increased liquidity in various markets is helping. In fact, this year's recovery has been a sharp 40-41 per cent. And if this continues, we will end the year at 40-41 billion USD. The main markets for us continue to be America and China, and both markets are doing exceptionally well in terms of demand. Plus, weddings, too are now at an all-time high, and 60 per cent of our business is weddings and engagements. Add to it that the stock markets are on fire, commodities are doing well, and everything is on a bull's run right now. So, the gems and jewellery industry, too, will get its fair share of the pie.

As you mentioned, the outbreak of the Covid-19 pandemic in March 2020 followed by the complete lockdown resulted in a choke of value chain from both supply and demand. How did GJEPC work around this to stabilise the demand and create new demand in the market?

The Council took two initiatives: One is the partnership with the Natural Diamond Council to promote natural diamonds globally. The other was that we partnered with the World Gold Council to promote gold jewellery, especially for millenials.

Besides this, we did several buyer-seller meets, virtual shows, physical shows too. We even





